

The Revival MANTRA

India Inc wants Pranab Mukherjee to reduce deficit, curb inflation and promote growth. All at once.

By Nivedita Mukherjee

There is no quick-fix solution for an economic slowdown. Yet, the long line of visitors outside Finance Minister Pranab Mukherjee's chamber for the past one month is looking for exactly that in Budget 2010-11. The verdict, which will formulate a budget that strikes a crucial balance between big business and *aam admi*, looks something like this. While India has borne the brunt of the global financial crisis much better than the West, the fiscal and monetary rescue measures of the last one year are essentially the triggers for higher growth and will sustain the recovery. "It is obvious," says Venu Srinivasan, president Confederation of Indian Industry (CII), "that Union Budget 2010-11 will have to maintain and even accelerate the recovery process and at the same time, keep control over fiscal deficit to ensure adequate liquidity". Of course, each interest group has its own mantra on how it should lead recovery but all agree that they want it to keep the stimulus going, bring down inflation, reform agriculture, check deficits, accelerate the pace of investment and improve infrastructure.

For the moment, "inflation is a matter of concern", says Amit Mitra, secretary-general, Federation of Indian Chambers of Commerce and Industry (FICCI), "and cooling prices a priority on industry wishlist". "At 7.31

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AGRICULTURE



Problem
Lack of investment leads to low crop yield and huge wastages

Demand
150 per cent weighted deduction in agri infrastructure, R&D and 100 per cent tax holiday in profits

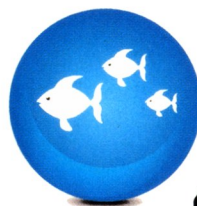
Problem
Poor public spending in education results in low employability

EDUCATION

Demand
An increase in public spending on secondary education and vocational courses



PRANAB MUKHERJEE



MSMEs*

Problem
Low technology infusion has made the sector uncompetitive

Demand
Hike depreciation rate from 15 per cent to 25 per cent and create a Technology Acquisition Fund

*Micro, small and medium enterprises

